

or think you are much too young to even think that far into the future, the responsibility of generating income in your retirement will more than likely rest in your hands. As part of your holistic personal risk management strategy, this book will motivate you to start thinking about how you and your loved ones will help convert the 401(k) and the sum of money you have saved in your retirement nest egg into a true pension that provides a retirement income that you can't outlive.

The Florida Pension Experiment

Public sector employees who are part of state or local government plans are not entirely immune to the trend I've described. If you live in Florida, you might know this already. Between mid-2002 and ending in mid-2003, every one of the approximately 625,000 government employees who were members of the state's pension fund were presented with a unique decision. Basically, each existing and new employee was granted the option to switch from a traditional defined benefit *pension plan* to a self-managed *investment plan*. In other words, they could take the lump-sum value of their retirement pension, and instead invest the proceeds themselves in a wide range of carefully vetted mutual funds. Alternatively, they could choose to maintain the status quo and remain in their current traditional defined benefit (DB) pension plan until retirement.

The upside or gain from pension switching was twofold. First, the employees would be given the chance to manage and invest the money that they have already earned and accrued, and they will be given the opportunity to do the same with any future contributions. Again, this "investment plan" is not a pension plan. It is a tax-sheltered investment account that will (hopefully) grow over time, the investment returns will (hopefully) beat inflation, and the nest egg will provide a nice cushion for their retirement. However, at some point the employee is going to have to turn this money into an actual pension that provides a respectable income for the rest of his retirement.